

International Commercial Arbitration

Compiled Notes

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ICA - Class I Reading

Authority of an arbitration tribunal rests on an agreement between the parties executed in accordance with law.

There can be two forms of such agreements: one which submits existing disputes to arbitration, the other which covers disputes that may arise in the future. The first is called a *compromis*, the other is called a *clause compromissoire*.

The UNCITRAL Model Law and New York Convention provide the mechanism for compelling arbitration in the existence of a valid arbitration agreement. In this regard, Article II of the New York Convention states that the courts of a contracting state, when seized of a matter in which the parties have made an arbitration agreement, shall refer the parties to arbitration unless the agreement is null and void, inoperative, or incapable of being performed.

These references can also be categorized into two registers:

1. **An independent suit**, where a party may bring an action to clarify the validity of the arbitration agreement or refer the parties to arbitration, having clarified the existence and validity of such agreement and the competence of the tribunal.
2. **An embedded suit**, where parties to the contract file a dispute before the court that may have already been contemplated to be covered by the arbitration agreement, and the respondent therefore prays to refer the matter to an arbitral tribunal in accordance with the said agreement.

The New York Convention mandates that party states must in both cases refer the parties to arbitration unless the three prescribed conditions are met.

The word “arbitrability” has two meanings. In a narrower sense, it refers to whether the mandatory applicable law in a given jurisdiction allows or disallows the arbitration of disputes. Construed broadly, it may also mean disputes or issues concerning the existence, validity, and scope of the arbitration agreement. Issues concerning arbitrability can be determined by both courts and the tribunal. However, the *competence-competence* principle clarifies that arbitrators have the capacity to decide upon their own competence, whereas the conclusion of arbitrators on this issue can be reviewed by courts in recognition or set-aside proceedings

The dilemma is whether in such cases the court must determine this issue, or whether it should be left to the tribunal to adjudicate the same. The question concerning arbitrability is much more a question of whose decision is final. At the stage of reference, the court deals with the question of who decides, and it again faces this dilemma in set-aside proceedings while considering whether the arbitrator’s determination of competence is correct.

At the reference stage, an extremely pro-arbitration legal order might send all of these questions to the arbitrator. At the same time, each party must have the right to have its day in court; a party cannot be presumed to have agreed to arbitrate or be prejudiced by having to go before the arbitral tribunal, put forth its case regarding the lack of competence, possibly lose, and then come before the court under Section 34 within the limited grounds available to challenge the jurisdiction of the arbitrator. That is a long, winding route for an issue that could have been resolved at the reference stage. Therefore, there is a competing value between a pro-arbitration stance—which allows arbitration tribunals to be constituted and protects agreements from being frustrated—and ensuring that a litigant with a *bona fide* cause is not put through the arbitration system through no fault of their own.

Even a pro-arbitration national legal system will draw back from automatically referring all issues concerning existence, validity, and scope to arbitrators at stage one (the reference stage).

There are two approaches internationally to resolve this dilemma:

- **The US**, the courts categorize prospective challenges on two grounds. If the party disputes the existence of the container or matrix contract and therefore derivatively argues that the arbitration agreement is also invalid, such questions are to be determined by the arbitration tribunal itself. For instance, a claim that the entire transaction is founded on fraudulent misrepresentation shall be determined by the arbitral tribunal on merits. Conversely, where the issue concerns the validity of the arbitration agreement or clause itself, such claims will be decided by the court. This is, at its core, the principle of separability, where the matrix contract and the arbitration clause are treated as two separate contracts, ensuring the arbitration agreement survives the death of the matrix contract. This rule was developed by the Supreme Court in *Prima Paint Corp. v. Flood & Conklin Mfg. Co.*, 388 U.S. 395 (1967).
- **France** has developed the idea of negative *competence-competence*. The positive concept of *competence-competence* requires that the arbitrator have the authority to determine their own jurisdiction and decide the merits of the dispute. The negative principle operates in tandem and posits that in order to give effect to the positive concept, the court must restrict the exercise of its jurisdiction over the question of arbitrability. It is only when the court refuses to entertain such pleas and refers the matter to arbitration that the arbitrator is able to exercise jurisdiction regarding such determinations. Therefore, in France, this leads to two consequences:
 1. Where the tribunal is already seized of the question regarding competence, the court will *prima facie* refuse jurisdiction and require the parties to continue proceedings before the tribunal.
 2. If the tribunal is not yet seized of the question, French courts will retain jurisdiction only in cases where it is shown that the arbitration agreement is manifestly null. These elements are provided for in the French Code of Civil Procedure under Article 1458 (now Article 1448).

Valid Arbitration Agreements

Article II of the New York Convention establishes the principal requirements for an arbitration agreement to be valid. This is also called a formal requirement. At its core, the prescription in Article II requires that an arbitration agreement should be in writing. The Article further defines “in writing” broadly to include telex, faxes, email, or other such communication.

It has been observed and accepted that Article II lays down a minimum requirement for the existence of an arbitration agreement. A contracting state may want to impose stricter conditions; however, in no circumstance can there be an oral or tacit arbitration agreement, since that would violate the express mandate of Article II.

It has also been observed that the validity of the arbitration agreement is fundamentally determined by Article II and not by the provisions of national law, specifically in international commercial arbitration. Although this view has its dissidents—for instance, German courts have taken the view that a signed arbitration agreement may not be strictly necessary, relaxing the requirement found in Article II—there is a constant attempt to dilute the strict writing requirements enshrined in the New York Convention. UNCITRAL itself has, in Article 7 of the Model Law, taken a liberal view of what constitutes an arbitration agreement.

Law Applicable to Arbitration Agreement

According to choice of law rule contained in Article 5, 1A of the New York Convention, the arbitration agreement is governed by the law chosen by the parties, and in the absence of such a choice by the law that of the place of the arbitration

Though we see that there is a common absence of party regulation of the applicable law due to the absence of awareness on the consequences concerning the applicable law that may follow from the nature of the arbitration clause

***Sulamérica Cia Nacional de Seguros S.A. and others v Enesa Engenharia S.A. and others* [2012] EWCA Civ 638**

This concerned a dispute arising out of insurance policies covering the construction of a hydroelectric plant in Jirau, Brazil. Following incidents of unrest and physical damage at the site in March 2011, the insured, Enesa Engenharia S.A. (“Enesa”), sought indemnity under the policies. The insurers, led by Sulamérica Cia Nacional de Seguros S.A. (“Sulamérica”), denied coverage and initiated arbitration proceedings in London to seek a negative declaration of liability. In response, Enesa instituted civil proceedings against the insurers in the domestic courts of Brazil. Sulamérica successfully applied to the English High Court for an interim anti-suit injunction to restrain Enesa from pursuing the Brazilian action. Enesa appealed to the Court of Appeal of England and Wales, contending that the arbitration agreement was unenforceable without its consent under Brazilian law, requiring the Court of Appeal to definitively identify the proper law governing the arbitration agreement.

The core difficulty arose from the presence of three competing contractual provisions within the insurance policies. First, the general conditions provided that the contract was to be governed exclusively by the laws of Brazil. Second, a separate clause conferred exclusive jurisdiction upon the courts of Brazil in respect of any disputes arising out of the policy. Third, the policies contained a multi-tiered dispute resolution clause requiring the parties to submit disputes to mediation, failing which either party was entitled to refer the matter to arbitration under the ARIAS Arbitration Rules, with the seat of arbitration designated as London, England. Enesa argued that the express choice of Brazilian law and the Brazilian exclusive jurisdiction clause demonstrated that Brazilian law governed the arbitration agreement. Under Brazilian law (specifically Article 4 of Brazilian Law No. 9,307/96), an arbitration clause within a standard-form contract can only be invoked by the insured or enforced against the insured with its contemporaneous consent. Conversely, Sulamérica argued that, under the doctrine of separability, the arbitration agreement was legally distinct from the substantive contract, and the designation of London as the seat indicated that English law governed the validity and effect of the clause.

Delivering the judgment of the Court of Appeal, Moore-Bick LJ (with whom Hallett LJ and Lord Neuberger MR agreed) established that the proper law of an arbitration agreement must be determined through a three-stage inquiry derived from *Dicey, Morris & Collins on the Conflict of Laws*. The court must examine: first, whether there is an express choice of law; second, in the absence of an express choice, whether the parties made an implied choice of law; and third, in the absence of either, with which system of law the arbitration agreement has its closest and most real connection. The Court observed that while commercial parties frequently designate the law governing their substantive contract, they rarely make an express choice to govern the arbitration agreement itself. In the absence of an express designation, the natural starting inference is that the express law chosen to govern the substantive contract was also implicitly intended by the parties to govern the arbitration clause. However, because an arbitration agreement is separable from the substantive contract, this implied choice remains a rebuttable presumption.

Applying this framework, the Court of Appeal held that the parties had made no express choice of law for the arbitration agreement, as the governing law clause applied generally to the substantive policy. Turning to the second stage, the Court concluded that the presumption of an implied choice of Brazilian law was displaced by two crucial considerations. First, the choice of London as the arbitral seat imported an acceptance that the supervisory law of the seat—namely the English Arbitration Act 1996—would govern the conduct, supervision, and procedure of any arbitration. Second, applying Brazilian law would render the clause unenforceable at the insurer’s instance without the subsequent consent of the insured. The Court held that rational commercial parties could not have intended to agree to an ostensibly bilateral dispute resolution mechanism—one explicitly permitting *either party* to refer an unresolved dispute to arbitration—only to render it one-sided and unenforceable at the inception. This commercial reality (an application of the validation principle) firmly negated any implied intention to subject the arbitration agreement to Brazilian law.

Having found neither an express nor an effective implied choice of law, the Court proceeded to the third stage of the inquiry to determine the system of law with which the arbitration agreement had its closest and most real connection. The Court of Appeal held that the agreement had its closest and most real connection with the law of England, as England was the agreed seat of arbitration where the arbitral process was anchored and subject to the supervisory jurisdiction of the English courts. The Court also reconciled the exclusive jurisdiction clause in favor of the Brazilian courts by concluding that it was intended to govern non-arbitrable disputes, judicial assistance, or proceedings to enforce an arbitral award. Consequently, the Court held that the arbitration agreement was validly governed by English law, and the Court of Appeal dismissed Enesa’s appeal, maintaining the anti-suit injunction.

Observations in Disortho

- In Disortho the Court observed that there is a distinction made between standalone arbitration agreement and an embedded arbitration agreement.
- In a standalone arbitration agreement, the choice of seat becomes highly significant and that would govern the arbitration agreement in the absence of a governing law specified. However, if the arbitration agreement forms part of a matrix contract, then the express choice of *lex contractus* strongly indicates the party’s intention.

Dallah Real Estate and Tourism vs. the Ministry of Religious Affairs, Government of Pakistan

Dallah arose out of a commercial arrangement to provide long-term housing for Pakistani pilgrims undertaking the Hajj pilgrimage to Mecca. In September 1996, Dallah Real Estate and Tourism Holding Company (“Dallah”) entered into an agreement containing an arbitration clause with the Awami Hajj Trust (the “Trust”), a statutory entity created by a Presidential Ordinance promulgated by the Government of Pakistan. Following political changes in Pakistan, the Ordinance was allowed to lapse without being re-enacted, causing the Trust to cease to exist as a legal entity. When disputes subsequently arose under the agreement, Dallah initiated arbitration proceedings before the International Chamber of Commerce (ICC) in Paris against the Government of Pakistan itself, even though the Government was neither a named party nor a signatory to the contract. The arbitral tribunal rendered a preliminary award on jurisdiction, followed by a final award on the merits in excess of US\$20 million against the Government, finding that the Government was a “true party” to the arbitration agreement under French international arbitration principles.

Dallah sought to enforce the Paris-seated award in England under Section 101 of the Arbitration Act 1996, which gives domestic effect to the 1958 New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards. The Government of Pakistan resisted enforcement under Section 103(2)(b) of the Act (reflecting Article V(1)(a) of the New York Convention), maintaining that

the arbitration agreement was not valid under the law of the country where the award was made—namely, French law—because there was no mutual agreement to arbitrate between Dallah and the Government. The primary issues before the Supreme Court of the United Kingdom were whether an English court at the enforcement stage is entitled to re-examine the arbitral tribunal’s jurisdictional findings *de novo*, and whether, applying French law, the Government was bound by the arbitration agreement as a non-signatory.

On the procedural standard of review, the Supreme Court (with leading judgments delivered by Lord Mance and Lord Collins) firmly rejected the proposition that the arbitral tribunal’s jurisdictional determination was entitled to deference or binding effect. While the doctrine of competence-competence allows an arbitral tribunal to rule on its own jurisdiction in the first instance, it does not confer exclusive authority upon the tribunal to determine its own mandate conclusively. Lord Mance emphasized that an arbitral tribunal cannot pull itself up by its own bootstraps to create jurisdiction where none exists. Consequently, under Section 103(2)(b) of the 1996 Act, an enforcing court is not confined to a mere supervisory review of the award, but must conduct an independent, full rehearing of the evidence on the merits to ascertain whether the resisting party was indeed bound by the arbitration agreement.

In determining the validity and scope of the arbitration agreement, the Supreme Court applied French law as the law of the seat of arbitration. Under French international arbitration law, an arbitration agreement is separable and autonomous from the underlying contract, deriving its validity directly from transnational rules without the necessity of applying a specific municipal legal regime. However, under the substantive rules applied by French courts to police arbitral jurisdiction, an arbitration agreement can only be extended to a non-signatory if there is an established “common intention” (*commune intention*) among all the parties—both signatories and non-signatories—to bind that third party. Such intention is typically inferred from the non-signatory’s direct and substantial involvement in the negotiation, performance, or termination of the contract, creating an objective appearance that the non-signatory treated itself as an actual party.

Following an extensive review of the contemporaneous record and witness testimony, the Supreme Court held that Dallah had failed to prove the existence of any common intention to bind the Government. The Court observed that the transaction had been deliberately structured so that Dallah contracted exclusively with the Trust, an independent legal vehicle, precisely to insulate the Government from direct contractual exposure and sovereign liability. Subsequent administrative actions taken by the Ministry of Religious Affairs after the Trust lapsed were consistent with the Government acting in its capacity as a sovereign regulator overseeing pilgrim welfare, rather than assuming contractual liability under the 1996 agreement. Because there was no valid agreement to arbitrate between Dallah and the Government under French law, the Supreme Court unanimously dismissed Dallah’s appeal and refused enforcement of the arbitral award, establishing a definitive precedent that English courts will rigorously interrogate arbitral jurisdiction at the enforcement stage under the New York Convention.

Enka Insaat Ve Sanayi AS (Respondent) v OOO Insurance Company Chubb (Appellant) [2020] UKSC 38

Enka Insaat Ve Sanayi AS v OOO Insurance Company Chubb [2020] UKSC 38 arose from a catastrophic fire in February 2016 at the Berezovskaya power plant in Krasnoyarsk, Russia. The plant owner’s Russian insurer, OOO Insurance Company Chubb (“Chubb”), paid approximately US\$400 million under its policy and, standing as subrogee to the owner’s rights, commenced civil proceedings in tort against Enka Insaat Ve Sanayi AS (“Enka”), a Turkish subcontractor that had executed works on the plant, before the Moscow Arbitrazh Court. In response, Enka commenced proceedings in the Commercial Court of the English High Court seeking an anti-suit injunction to restrain Chubb from pursuing the Russian litigation, asserting that the claim fell squarely within an ICC arbitration agreement seated in

London contained in the underlying construction contract. At first instance, Andrew Baker J dismissed Enka's claim on *forum non conveniens* grounds, ruling that the Russian court was the more appropriate forum to determine whether the dispute was covered by the arbitration clause. The Court of Appeal reversed this decision, holding that an English court seated as the supervisory seat must not defer on *forum non conveniens* grounds, and laid down a broad presumption that, in the absence of an express choice, the law of the arbitral seat ordinarily governs the arbitration agreement as an implied choice. Chubb subsequently appealed to the Supreme Court of the United Kingdom.

In determining which system of law governed the arbitration agreement, the Supreme Court (with the majority judgment delivered jointly by Lord Hamblen and Lord Leggatt) first addressed the conflict of laws framework. The Court confirmed that the Rome I Regulation (Regulation (EC) No 593/2008) does not apply because Article 1(2)(e) expressly excludes arbitration agreements from its material scope. Consequently, an English court must resolve the question by applying English common-law conflict of laws rules, construing the contract according to English principles of interpretation as the law of the forum (*lex fori*). Under these common-law principles, the law applicable to an arbitration agreement is determined through a sequential inquiry: first, by identifying any express choice of law; second, by identifying any implied choice of law; and third, in the absence of an express or implied choice, by determining the system of law with which the arbitration agreement has its closest and most real connection.

The Supreme Court fundamentally recalibrated the approach to the second and third stages of this inquiry, correcting the Court of Appeal's emphasis on the seat. The majority held that where commercial parties have chosen a system of law to govern their substantive contract, that choice will generally extend to the arbitration agreement contained within it, even if the parties have designated a different country as the arbitral seat. This general rule promotes commercial common sense and legal certainty, reflecting the natural expectation that a contract is intended to be governed by a single, coherent body of law. This presumption will only be displaced in exceptional circumstances, such as where applying the law of the substantive contract would render the arbitration agreement invalid or unenforceable under the validation principle, as parties are not presumed to have intended a choice of law that frustrates their agreed dispute resolution mechanism.

However, where the parties have made no choice of law for the substantive contract—either expressly or impliedly—the court cannot infer a choice for the arbitration agreement and must proceed directly to the third stage: determining the legal system with which the arbitration agreement has its closest and most real connection. As a default rule of law, an arbitration agreement is most closely connected with the law of the seat of arbitration, because the seat represents the legal home of the arbitral process and the seat's courts exercise supervisory and supportive jurisdiction over the arbitration. Applying this framework to the facts, the Supreme Court found that the construction contract contained neither an express nor an implied choice of governing law for the main contract. Consequently, the third stage applied: the arbitration agreement was most closely connected to the law of the designated seat, London, and was therefore governed by English law.

Finally, the Supreme Court affirmed the primacy of the arbitral seat in protecting the integrity of the arbitral agreement. Because the arbitration clause was governed by English law, Chubb's commencement of civil proceedings in Russia constituted a clear breach of the negative covenant not to litigate in a municipal court. The majority confirmed that where an English seated arbitration agreement is breached by foreign litigation, the English court, as the court of the supervisory seat, has an inherent jurisdiction and a duty to grant an anti-suit injunction—unless there are strong reasons to the contrary—without deferring to the foreign court on *forum non conveniens* grounds. The Supreme Court accordingly dismissed Chubb's appeal and upheld the anti-suit injunction.

Of this two observations are essential. The court has identified several additional factors or contrary indica which can be used to defeat the presumption that the governing law of the matrix contract shall be the governing law of the arbitration agreement.

1. A provision in the law of the state which indicates that once an agreement is subject to that law, the arbitration agreement itself must also be governed by the seat law
2. The existence of serious risk that if governed by the same law as the matrix contract, the arbitration agreement would become ineffective

The closest connection test and a presumption in favor of seat shall only apply whether the contract does not stipulate a *lex contractus*.

Law Applicable to Arbitration Proceedings : *Lex Arbitri*

Procedural rules governing arbitration can fall into one of two levels. The 'lex arbitri' is curial law which refers to the **national arbitration law** that sets the framework for arbitration and facilitates the arbitration by providing appointment of arbitrators or overseeing the adherence of the award in accordance with national standards. Then there is procedural rules of non-state origin or institutional rules which apply to the conduct of proceedings found in the institution where the arbitration is to be conducted.

In *JKERA v. Rash Builders*, Srinagar was designated as the seat of the arbitration tribunal. Accordingly, J&K High Court referred parties to arbitration. The tribunal was situated in Delhi. Final award was signed in Delhi. Since seat was in Srinagar, set-aside under Section 34 came to be filed before Jammu Kashmir High Court. However, the court declined to entertain the petition, holding that since the proceedings were conducted in New Delhi, the Courts of New Delhi alone had jurisdiction.

Holding that the seat court that is Jammu Kashmir High Court would have the correct jurisdiction, the Court laid down basic principles applicable to the concept of seat:

1. Seat of arbitration is the juridical home or the legal place of arbitration. It determines the curial law and identifies courts having supervisory control over that proceeding.
2. Once the seat is designated, the courts of that place alone have exclusive jurisdiction to entertain all proceedings arising out of the arbitration, including challenges to the award. In that sense, it functions akin to an exclusive jurisdiction clause
3. The venue is merely the geographical location chosen for the convenience of holding hearings, examination of witnesses or meetings of the arbitral tribunal.
4. Mere fact that the arbitration proceedings were conducted or rendered at a particular place does not confer jurisdiction to the courts of that place if it is different from the designated seat.
5. Where the seat has not been explicitly designated, courts may determine the seat by applying two tests:
 1. Courts could construe venue as seat by the application of **Shashoua Principles**.
 2. Or through the closest or most intimate connection test based on the *Naviera Amazonica* Principle. (*Enercon*)
6. The intention of parties as discerned from the agreement and its surrounding circumstances is the paramount factor in determining the seat

Roger Shashoua v. Mukesh Sharma

Facts

- An anti-suit injunction was filed by Roger S. against Mukesh S. which was the principal issue before the Queen's Bench.
 - The agreement contemplated between the parties was such that:
 1. Clause 17 provided that the agreement was to be governed by the laws of India
 2. Clause 14 was the arbitration clause and provided for arbitration to be conducted as per the International Chamber of Commerce Rules
 3. It also provided that the **venue of arbitration** shall be London UK.
1. The dispute before the court is what is the seat court having supervisory jurisdiction over the proceedings. Mukesh submits that it is Indian law while Roger submits that it is English law.
 2. An interim measure for protection under section 7 was filed before the New Delhi High Court for claiming status quo on the assets. At this time, the claimant submitted that the seat was in London

and the arbitration agreement was governed by English law. Yet interim relief was claimed before Indian courts due to the presence of assets of the respondent in India.

3. Simultaneously, a request for arbitration was filed before the courts of England
4. The respondent applied to the Delhi High Court for declaration that there existed no valid arbitration agreement between it and the other parties. The High Court rejected this plea.

Discussion of the Court

1. It was unanimously accepted that the capacity to give anti-suit injunction was only with the courts of the seat. It was submitted that in the ordinary course the venue decided by the parties would constitute the seat of the arbitration. If a venue was named and no other juridical seat was specified, it would be expected that the venue would also constitute the seat
2. Conversely, it was submitted that the term venue is not synonymous with seat and in consideration of relevant circumstances the juridical seat must be in India and the curial law must be Indian law.
3. The court held that designation of London as the venue also amounts to designation of juridical seat. The parties have not simply provided the location of hearings to be in London for the sake of convenience. It was conversely submitted that since the proper law of the matrix contract is Indian law, the law governing the agreement to arbitrate must also be Indian law.
4. It did not matter whether the governing law of the matrix contract was Indian law. Since England is the seat of arbitration, it carries with it something akin to “exclusive jurisdiction clause” and thus, the foreign court’s shall not be responsible.

Preliminary Award Made in Case No. 2321/1974 (ICC)

The arbitration was conducted between a State and a public authority of Sweden. Dispute arose in respect of a commercial contract between the State and the public authority.

The provisions of the contract provided that one or more arbitrators be appointed according to the ICC Rules. However, the contract provided that the appointment of arbitrator shall be undertaken by authority other than the Court of Arbitration of the ICC. The nominated authority refused to appoint the arbitrator and the Court of Arbitration considered that it was up to them to proceed with the nomination of the arbitrator.

It was this decision which the defendants claimed to be invalid. A challenge was made before the Ld. Arbitrator. He upheld the appointment by the Court of Arbitration on the following grounds

1. The fact that an arbitration agreement must be interpreted strictly is not a principle that can be mechanically applied, specifically when it comes to the effectiveness or the validity of the clause.
2. Parties must be presumed to have intended to establish an effective machinery for settlement of disputes.
3. The nominated authority refused to appoint the arbitrator saying that he considered the court of arbitration as the valid avenue for appointment of arbitrator.
4. The rules of ICC have been incorporated by reference. They require that the Court of Arbitration appoint the arbitrator failing agreement by the parties.
5. Since their aggrieved method proved to be ineffective, according to the ICC rules the matter shall then be governed by the Court of Arbitration.

The objective of the Tribunal herein was to ensure that even if there is a conflict between the language of the contract, and rules incorporated by reference, the arbitration agreement itself is made workable. Since an interpretation that would render the clause otiose would be against the presumed intention of the parties to arbitrate.

AQZ v. ARA

1. Parties had applied to the Singapore High Court for setting aside a Ruling and Partial Award on Preliminary Issue
2. The dispute concerned whether parties to a supply contract for non-cooking coal had agreed to a second supply contract or whether they had reached merely preliminary oral agreement on certain points. When the seller did not deliver the goods, the buyer initiated proceedings before SIAC in 2013.
3. The 2010 SIAC rules provided that certain disputes should be referred to an expedited procedure before a sole arbitrator. The contract, however, provided for a bench of three arbitrators. The seller participated in the proceedings under protest having reserved its rights to challenge the effectiveness of the arbitration agreement.
4. In its partial award, the sole arbitrator ruled on its jurisdiction and held that the tribunal is competent to determine issues arising out of the contract and that the parties had, in fact, entered into a second contract which was breached by the seller.
5. The seller argued that the composition of the tribunal was not in accordance with the agreement of the parties.
 1. The application of Rule 5 of the SIAC Rules 2010 for expedited proceedings was incorrect since the arbitration agreement had concluded at a time when SIAC Rules 2007 were under force which did not provide for expedited proceedings.
 2. The appointment of sole arbitrator, despite a provision in the arbitration agreement to the contrary, was a serious procedural flaw.

Court's Reasoning

The court rejected both challenges for the following reasons

1. The clause providing for arbitration merely stated that the dispute “shall be settled by arbitration in accordance with the rules of conciliation and arbitration of the Singapore International Arbitration Centre by three arbitrators in the English language”
2. There is a presumption that reference to rules of a tribunal refers to such rules that are applicable on the date of commencement of arbitration and not on the date of contract, provided that the rules contain mainly procedural provisions. If the rules contain substantive provisions, then those in force at the date of contract would apply.
3. Supplier argued that the contract does not include the phrase for the time being in force. Therefore, the intention was not to apply the SIAC Rules in force at the time of the commencement of arbitration. However, the court held that the absence of this phrase does not displace the presumption in favour of the SIAC Rules in force.
4. Now once the SIAC Rules 2010 have been incorporated into the party's contract by reference the clause of the contract will have to be interpreted purposively.
5. A commercially sensible approach therefore would be to interpret the intention of the parties to arbitrate and to recognize that the SIAC President has the discretion to appoint the sole arbitrator.
6. The ICC's new emergency arbitration provisions provide explicitly that they don't apply to arbitration agreements entered into before the new rules came into force. The SIAC Expedited Procedure provisions do not contain an exclusion of this sort, which fortifies the conclusion that the expedited procedure under SIAC rules could override the party's agreement for arbitration even if the provisions came **after** the contract came into force.

Union of India v. McDonell Douglas Corporation.

The question was simply whether the arbitration was governed by the laws of India or by the laws of England.

The agreement in question contained an arbitration clause which was in the following terms

1. The dispute or differences arising out of or in connection with the agreement shall be referred to an arbitration tribunal consisting of three members.
2. The arbitration shall be conducted in accordance with the procedure provided in the Indian Arbitration Act.
3. The seat of the arbitration proceedings shall be London, United Kingdom

The plaintiffs argued that the words arbitration shall be conducted in accordance with the Indian Arbitration Act makes it clear that the parties have chosen Indian law to govern the arbitration proceedings arising under the agreement. Defendants conversely argue that stipulating London as the seat of arbitration means that English law will govern the arbitration proceedings.

Court's Judgment

By Article 11, the parties have not only chosen Indian law to govern the rights and obligations arising out of their commercial bargain, but also the rights and obligations arising out of their agreement to arbitrate. Therefore, the governing law of both the commercial matrix contract and the arbitration agreement is Indian law.

The fact that the law of India is the proper law of the arbitration agreement does not entail that the governing law of **the proceedings themselves** shall also be the law of India. The law that governs the validity of the arbitration agreement is not the law that also governs the procedure of arbitration.

If the parties do not make an express choice of procedure or law, the court will have to consider whether there is an implied choice. However, in this place, the fact that the parties have agreed to a place of arbitration is a pointer to the fact that they implicitly have chosen the laws of that place to govern the procedure of arbitration. The word seat means the **legal place of the arbitration proceedings**. By making this choice explicitly, they have chosen English law to govern the procedure of arbitration proceedings

There is a way of reconciling the two phrases. The phrase conducted implies that Indian law shall govern the way in which the parties and the tribunal carry on their proceedings rather than conferring a supervisory jurisdiction to Indian courts.

Therefore the English Law is to **govern the arbitration proceedings** while Indian Law is concerned with the **internal conduct of arbitration insofar as it is not inconsistent** with English arbitral procedural law.

Disortho S.A.S v. Meril Life Sciences Private Limited BYC v. BCZ

The Singapore High Court observed that the principle of severability does not mean that the arbitration agreement is completely insulated or detached from the main contract. It simply means that the arbitration clause remains valid and enforceable even if the main contract is found to be invalid. Therefore, a choice of law made in the main contract is a strong indicator of the law governing the validity of the arbitration agreement in the absence of contrary indica.

Arif Azim

- Part 1 of the Act 1996 and the provisions thereunder only apply where the arbitration takes place in India. That means the seat is in India or the law governing arbitration agreement are the laws of India
- The moment a seat is determined, it would be akin to an exclusive jurisdiction clause whereby only jurisdictional courts of the seat will have jurisdiction to regulate the arbitral proceedings
- The closest connection test is no longer viable criteria in view of the Sashua principle
- The better criteria for determining seat would be that where the arbitration agreement expressly designates its place of arbitration anchoring the arbitral proceedings without any contrary indication, such place would be the seat of arbitration
- However, it is not to say that the closest connection test has no application whatsoever. Where there is no express or implied designation of place of arbitration, either of venue or of curial law the closest connection test may be more suitable in determining a seat of arbitration.

Disortho Facts

In the facts of Disortho clause 16 stipulated that the agreement shall be governed and construed in accordance with the laws of India. Further, all matters arising from the agreement shall be subject to the jurisdiction of courts in Gujarat. Clause 18 outlines conciliation and arbitration process. The arbitration was to be conducted by the ICC in Bogota the award was to be given as per the Colombian law governing the matter.

Court's Observations

- Clause 16 states that the agreement shall be governed by the laws of India and the exclusive jurisdiction shall fall within the courts of Gujarat. Therefore, under clause 18, Bogota has been designated as a venue for conciliation. While the courts in Gujarat retain exclusive jurisdiction over the dispute
- The law governing arbitration agreement is Indian law and therefore the scope and interpretation shall be determined in accordance with Indian law. Most prominently the exclusive jurisdiction is granted to Indian courts which are the supervisory courts in this context
- The test developed by Sulamerica would indicate that there is no express choice at the first place. Therefore, there are two choices: either the law of the seat or that of the venue shall be determined as the governing law. There is a strong presumption, therefore, that lex contractus governs the arbitration agreement. Since the lex contractus here is Indian law, in the absence of any contract in India, that is to be considered as the law governing the arbitration agreement. Therefore, Indian law governs the arbitration agreement and the controversy is to be resolved accordingly

Law Governing Substance of Dispute between the Parties - *Lex Contractus*

- Choice of substantive laws more difficult in ICA since the tribunal is not bound to apply the conflict rules or the substantive law of the place of arbitration. Since the parties belong to different jurisdictions there will always be options to select the applicable law.

Article 28 of the Model Law reads thus:

(1)The arbitral tribunal shall decide the dispute in accordance with such rules of law as are chosen by the parties as applicable to the substance of the dispute. Any designation of the law or legal system of a given State shall be construed, unless otherwise expressed, as directly referring to the substantive law of that state and not to its conflict of laws rules.

(2)Failing any designation by the parties, the arbitral tribunal shall apply the law determined by the conflict of laws rules which it considers applicable.

(3)The arbitral tribunal shall decide *ex aequo et bono* or as *amiable compositeur* only if the parties have expressly authorized it to do so.

(4)In all cases, the arbitral tribunal shall decide in accordance with the terms of the contract and shall take into account the usages of the trade applicable to the transaction.

(Numbers correspond to the paragraphs above)

1. It allows the parties to select a binding choice of law to govern the substance of the dispute and provide rules of construction when there is conflict of law.
 - The primary issue is whether parties can choose not only body of law but also other parts of legal codes or set of rules that are not in force as such. These may include international conventions or uniform law that is not in force yet
 - The UNCITRAL working group adopted this view. The phrase rules of law was preferred by the working group since it allows the parties to implicitly designate parts of the systems of law applicable
 - The phrase rule of law implies that parties could choose where to allow national law to apply and where to exclude the provisions on a certain topic. For instance, parties could choose Swiss law as the law of the matrix contract while excluding the rules governing judicially ordered set of further the chosen provisions need not be law as such. The Commission notes that it was stated in support of the term rules of law that it would allow the parties to choose rules embodied in a convention or similar legal text elaborated at a national level even if it is not in force.
2. Here there were two key questions. One was whether the tribunal is empowered to choose the applicable law directly or via conflict of rules, and second is whether the tribunal could choose rules of law and not only law for a given national state, as the parties were permitted under para 1
 - The working group chose a narrower approach requiring the tribunal to take recourse to conflict of law rules since the narrower freedom give greater predictability and certainty to ensure that the tribunal gave reasons for its choice of law.
3. This allows the parties to have the tribunal decide *amiable compositeur*. Paragraph 4 was adopted as a limitation to the powers of the tribunal under paragraph 3

IBA Guidelines on Conflict of Interest in International Arbitration

The 2004 Guidelines listed specific situations designated red, orange and green with the aim of illustrating the General Standards for determining conflict of interest.

- The red list indicates situations which amount to conflict of interest
- The green list indicates situations that do not create conflict of interest or appearance thereof
- The orange list may depending on the facts of a given case raise justifiable doubt, therefore a disclosure pursuant to GS-3 has been mandated.

GS - 1

It requires that the arbitrator be impartial and independent of the parties at the time of accepting an appointment to serve in a tribunal and shall remain so until the final award is rendered.

- The arbitrator's obligation in this regard ends when the tribunal is rendered its final award or the proceedings have otherwise terminated
- If after setting aside the dispute is referred back to the same tribunal, a fresh round of disclosure will be necessary

GS - 2

1. An arbitrator shall decline an appointment or refuse to continue as an arbitrator if he has any doubts as to his impartiality or independence
2. If certain facts or circumstances have arisen since the appointment, which to a reasonable person would give justifiable doubts to the impartiality of the arbitrator, he must decline his appointment or continue to act.
3. Doubts are justifiable if a reasonable third person would reach to the conclusion that the arbitrator is likely to be influenced by factors rather than the merits of the case.
4. A situation in the non-waivable red list is assumed to create a justifiable doubt.

The phrase impartiality or independence is derived from the UNCITRAL Model Law. Article 12 also adopts a reasonable third person test.

If the circumstances are akin to those described in the Waivable Red List, then an arbitrator is not ipso facto rendered incapable to continue. He must make a disclosure under GS-3 and let the parties decide.

GS - 3

1. If there are circumstances that may give rise to doubts, the arbitrator shall disclose such facts to the parties, the institution or the appointing authority and the co-arbitrators prior to accepting the appointment or as soon as the arbitrator learns of this.
2. A declaration or waiver in advance does not discharge the arbitrator of the continuous duty of disclosure under (1).
3. Arbitrators who have made disclosure and consider themselves to be impartial and independent under GS-1 and GS-2 shall be capable of continuing to function as arbitrator.
 - Disclosure does not imply the existence of conflict of interest. Arbitrators who have (1) disclosed the relevant facts and circumstances that could lead to justifiable doubts (2) having decided that these circumstances do not impair their judgment **must be allowed to continue unless the parties feel that he must be disqualified.**
4. Dispute concerning whether or not to disclose should be resolved in favour of disclosure.

5. If the arbitrator finds that he should make a disclosure, but the rules of practice or secrecy prevent such disclosure. He should not accept the appointment or should resign.

GS - 4

1. If within thirty days after receipt of disclosure or the party otherwise learns of facts and circumstances that could cause a potential conflict of interest **such party does not raise an express objection** subject to (2) and (3) the party is **deemed to have waived** any potential conflict of interest and cannot raise such an issue at a later stage.
2. If facts exist as described in the non-waivable Red List, any waiver by a party shall be regarded as invalid.
3. A person cannot be an arbitrator where a conflict of interest in the waivable red list exists. Nevertheless, the appointment may continue if **other arbitrators institutions appointing authority have full knowledge** of the conflict of interest and **parties agree that such person may continue** to serve an arbitrator despite conflict.
4. An arbitrator **may assist the parties through conciliation at any stage**. However, the **arbitrator should receive an express agreement** that acting in such manner shall not disqualify the arbitrator from continuing to serve as an arbitrator. The agreement is considered to be **effective waiver of conflict of interest from the arbitrator's participation in such process**.
 - This has been provided because in some jurisdictions arbitral tribunal assisting its parties in reaching a settlement is not allowed. **However, if informed consent by the parties to the process prior to its beginning is obtained, it is effective as a waiver of potential conflict of interest.**
 - It should also not be used as a means of disqualifying the arbitrator and therefore the waiver should remain effective even if the settlement process is unsuccessful

GS - 5

This standard in substance states that the guidelines apply to tribunal chair, sole arbitrator, co-arbitrator, howsoever appointed, the secretaries and assistants to the tribunal are also bound by the same duty of independence and impartiality as it is for the Tribunal.

GS - 6

1. Generally the arbitrator is considered to bear the identity of the employer, however when determining potential conflict of interest, the activities of the law firm or employer, the organizational structure, mode of practice, etc. should not be involved. Therefore, the activities of the employer shall not constitute as a source of such conflict of interest
 - The objective of this is to ensure that activities of the arbitrators, employer or law firm should not automatically create a conflict of interest.
2. Where a legal entity or natural person has a **controlling influence**, or **direct economic interest or duty to indemnify** a party to the arbitration, the party in the proceeding must be considered as a representative of the former, controlling or interested party.
 - Intention here is simply that in order to truly ascertain whether there is conflict of interest, its related parties which may by function of law appear distinct, but are in substance having a controlling influence should be considered as being represented in the arbitration tribunal and therefore conflict of interest analysis must also be undertaken qua such controlling parties
 - A has a direct economic interest in B. The dispute between B and C is referred to arbitration. In such proceedings, B is deemed to be a representative of A. This materially changes the "conflict of interest" analysis to be undertaken.

3. Any legal entity over which a party has controlling influence may be considered to bear the identity of such party.
 - Where a parent company is a party to the proceeding, the subsidiary company may be considered to bear the identity of the parent company.
 - Where a natural person is the party to the proceeding. A company closely held by them on which they have controlling influence is considered to bear their identity.

GS - 7

1. Party shall inform the arbitrator, the tribunal, other parties and the arbitration institution of the relationship between the arbitrator and
 - The party
 - The group of company
 - Person having controlling influence on the party
 - Person on which the party has controlling influence
 - Party or entity with an interest in the award to be rendered
 - Or any other person which it believes an arbitrator should take into consideration while making disclosure under GS-3.
2. Parties shall inform the arbitrator, the tribunal, other parties and the institution of the identity of counsel appearing for the arbitration as well as of any relationship between the council and the arbitrator on its own initiative
3. Arbitrator is under the duty to make reasonable inquiry to identify any conflict of interest as well as facts and circumstances that may give rise to the arbitrator's impartiality
4. Failure to disclose is not excused by lack of knowledge if the arbitrator does not perform such inquiry
5. Parties must also perform reasonable inquiries to provide relevant information available

Practical Standards

- The red list contains of two parts: non-waiveable and waiveable. - These lists are not exhaustive, and give instances of certain situations which, depending on the facts of the case, can give rise to justifiable doubt regarding the independence and impartiality of the arbitrator.
- The orange list consists of situations that depending on the facts of the case may give rise to doubts on the impartiality and independence. However, the arbitrator is only to make a timely disclosure. They do not ipso facto lead to disqualification. Parties can waive them if no timely objection is made.
- Non-disclosure by itself does not make an arbitrator lacking independence. The facts and circumstances and the information that was not disclosed must be taken into consideration.
- In respect of the situations listed in the orange list, there is no presumption that there must always be disclosure. It must be decided on a case-to-case basis whether such disclosure is required in a given situation. At the same time there may be conditions which are not mentioned in the list but still require disclosure by the arbitrator.

Non-Waivable Red List

There are only four non waivable situations enumerated in the IBA guidelines

1. There is an identity between party and the arbitrator or arbitrator is legal representative, employee of a person that is party to the arbitration.

2. Arbitrator is **manager, director, member of the supervisory board** or has **controlling influence** over one of the parties to the arbitration, or over a party that has **direct economic interest** in the award rendered
3. Arbitrator has financial or personal interest in the parties or the outcome of the case
4. Arbitrator **currently or regularly advises** party or an *affiliate* of a party and the **employer of the arbitrator** derives **significant financial** income therefrom.

“International” and “Commercial” in ICA

TDM Infrastructure

- An application under section 11(5) and 11(6) of the Arbitration Act was filed before the Supreme Court for appointment of arbitrator.
- The respondent challenged this petition on the ground that the court did not have jurisdiction to appoint an arbitrator under those sections.
- The petitioner has argued that in light of the provisions contained in 2(1)(f) read with section 11(6) the Supreme Court alone has jurisdiction to appoint an arbitrator since the dispute amounts to international commercial arbitration.
- This is because the central management and control of the petitioner company is exercised in Malaysia
- However, the court finally held that once it is decided that both companies are incorporated in India and have domiciled in India, the arbitration entered into would not be an international commercial arbitration and therefore the applicability of section 2(1)(f) would not arise.
- Only in a case where a body corporate, which is not necessarily a company registered and incorporated in the Companies Act, for instance, an association or a body of individuals is governed or managed or controlled in any other country other than India, then it shall be for falling under 2(1)(f) clause (iii).

PASL

- The respondents supplied converters to PASL. Disputes arose regarding the warranties on these converters. To resolve these disputes, parties entered into a settlement agreement. Certain warranties were provided under this settlement agreement.
- Clause 6 of the settlement agreement contained a dispute resolution clause whereby if no settlement can be reached through negotiation or then “**all disputes shall be referred and finally resolved by arbitration in Zurich** in the English language in accordance with the rules of the ICC. The arbitration award shall be final and binding on both parties”
- During the arbitration proceedings, Respondent argued that Indian parties have no right to select a foreign seat for adjudicating their dispute and therefore the seat of the tribunal could not be Zurich
- This was challenged by PASL on the ground that there was no statutory bar from selecting a foreign seat between two Indian parties. The arbitrator ruled in favor of PASL and held that while the seat of the arbitration is Zurich, for the convenience of parties the arbitration proceedings can be conducted in Mumbai
- Post-arbitration, PASL, the judgment debtor initiated set-aside proceedings before the courts of Gujarat on the ground that the parties could not have chosen Zurich as the seat of the arbitration. The Gujarat High Court decided against PASL, leading to the present appeal

Court’s Position

1. The court found that the seat of the arbitration was Zurich, Switzerland

Clause 6 of the settlement agreement showed that the arbitration was to be resolved in Zurich in accordance with the rules of ICC in *Mankatsu Impex* where it was seen that the phrase “administered in Hong Kong” was conclusive in choosing the seat of arbitration.

PASL had tried to argue that the closest connection test binds the tribunal to Mumbai. However, the court clarified that the closest connection test is not applicable in a case where the parties have explicitly chosen a seat.

2. That Part 1 and Part II of the act are mutually exclusive and the proviso to section 2(2) is not a bridge connecting both parts.

Part 1 deals with arbitrations where the seat is in India and has no application in a foreign seated arbitration.

Part 2 is not concerned with arbitral proceedings at all. It is only concerned with the enforcement of foreign award. Section 45 alone is the exception which deals with referring parties to arbitration. Barring this, Part 2 does not apply to arbitral proceeding once they have commenced outside India.

The definition of international commercial arbitration in section 2(1)(f) is distinct from the purport of the word used in Section 2(2). When it is used in section 2(1)(f) it is intended to denote international arbitration which is seated in India where one of the parties is not Indian conversely international commercial arbitration when used in the context of section 2 clause 2 is only concerned with an is concerned with the arbitration that takes place outside India where assets are situated in India and the interim orders are required qua such assets so therefore section 2(1) (f) is an Indian seated international commercial arbitration whereas section 2(2) is a foreign seated commercial arbitration that may albeit be between two Indian parties

3. Section 44 of the Arbitration Act is seat-oriented and not person-oriented. The four ingredients of a foreign award required under section 44 are satisfied in this case. These are:
 - The dispute must be considered a commercial dispute under the law in force in India
 - It must be made in pursuance of an agreement in writing
 - It must arise between persons without regard to that nationality, residence, or domicile
 - The arbitration must be conducted in a country which is a signatory to the New York Convention

The nationality, domicile, or residence of a party is without relevance to determine whether the award is foreign

4. Party autonomy is the brooding and guiding spirit of arbitration. Nothing stands in the way of party autonomy in designating the seat of arbitration outside India, even when both parties happen to be Indian nationals
5. The New York Convention expands the scope of enforceability beyond the narrower Geneva Convention framework. The Geneva Convention requires that an award must be between persons of whom one is subjected to the jurisdiction of one Party-State and the other is subject to the jurisdiction of some other Party-State. This is a **person-oriented or nationality oriented requirement**. It requires that the parties be subject to jurisdiction of different Contracting States.

New York Convention omits this requirement entirely. The Convention has two criterion.

The first is the territorial criteria which says that the Convention shall apply for the enforcement of an arbitral award made in the territory of the state **other than the one** in which the recognition and enforcement of the award is sought.

The second criteria is the non-domestic criterion. According to this, the convention also applies to arbitral awards that are not considered as domestic awards in the state where the enforcement is sought. Now this is a condition where an award may be made within India but still may be treated as foreign award if it is not considered as domestic within the law of the state for instance an award rendered in India under English procedural law is a English arbitral award whereas an arbitral award rendered in England under Indian procedural law is a non-domestic Indian award.

The jurisdiction of the New York Convention is wider because it does not require parties to be from different contracting states and it introduces the idea of non-domestic award where even if the award is made physically within the enforcing state on the basis of the procedural law applicable, it may still constitute a foreign award.

This is why the court is of the opinion that section 44 which mirrors the non-domestic criteria allows for Indian parties to have foreign-seated arbitrations which are exclusively governed by Part II of the Arbitration Act

L&T v. MMRDA

Court was asked to determine whether an arbitration involving a consortium of companies which included an Indian company and a Malaysian company could qualify as an international commercial arbitration.

It was held that the consortium **did not qualify as an international commercial arbitration** since it was an *association of persons* under section 2(1)(f) clause (iii). The lead member of the consortium was L&T which was an Indian company and the company's office was located in Mumbai. Hence, therefore, the central management and control of the consortium was exercised in India and the requirements of 2(1)(f)(iii) were not satisfied.

Definition of “commercial” - RM Investment v. Boeing

The Supreme Court in **RM Investment and Trading Co. Pvt Ltd. vs. Boeing** in 1994, laid down a broad and liberal test of determining whether a relationship was commercial in nature.

In this case, RMI was to provide consultancy services to Boeing. RMI argued that the consultancy services were not in the nature of a commercial agreement. However, the court rejected this contention since the sale of aircrafts by Boeing was, an commercial transaction and the consultancy services rendered by RMI were ancillary to the commercial transaction and were itself commercial in nature.

Under the definition of international commercial arbitration, the relation between parties must be in commercial accordance with Indian law. The broad facets of these are as follows

- The nature of services
- Active role in trade
- Payment terms
- Interpretation and object of the act

The consultant played an important role in the sale of aircrafts and therefore it was commercial in nature.

Essential Requirements in an Arbitration Agreement

- Whether the arbitration agreement is for an ad hoc arbitration or for institutional arbitration, it is important that it be in writing
- The model LCIA rules for example require parties to fill in the following details:
 - Number of arbitrators
 - Seat of arbitration
 - Language of the arbitration proceeding
 - Governing law of the contract
- The phrase “*disputes arising out of or in connection with the contract*” means both issues that arise out of the contract and tort issues which are related to the contract and are arbitrable.

Choice of Arbitrators

- The choice regarding the number of arbitrators is an important decision.
- Various considerations weigh on the parties when deciding the number of arbitrators which could adjudicate their dispute.
- A principal consideration is price, but even beyond that, the complexity of the underlying transaction is important. If the transaction is complex, it is recommended to have more than one arbitrator to appreciate and come to a reasonable resolution of the dispute.
- Qualification of arbitrators is also important though it is recommended to not specify so many categories that it becomes impossible to find arbitrators who meet all the qualifications

Place of Arbitration

- Choosing the place of arbitration involves choosing *lex arbitri*.
- Parties generally want an arbitration-friendly regime where the intervention of the judiciary is limited.
- Parties may also want to choose a neutral forum that is not connected to either parties
- The situs must be within a country that is a party to the New York Convention to ensure that it is enforceable under the Convention in the jurisdiction where the assets of the parties are located
- Additionally, the parties must also look at whether the infrastructure is developed enough to sustain arbitration proceedings

Language of Arbitration

- The language of the arbitration should be stated in the arbitration clause since in some cases the clients would have to assume unexpected costs of translating documents and witness testimony if the language of the arbitration is not specified and the tribunal takes its *own suo motu* decision on it.

Substantive Law

- It is the law that governs the matrix contract and is not necessarily needed to be included in the arbitration agreement, but it is always good to have it to ensure that the tribunal is clarified beyond controversy of the substantive law applicable

Additional Provisions

- Parties could also incorporate provisions of the rules developed by the International Bar Association. Such as IBA Rules on Taking of Evidence, or Conflict of Interest.

- In case of an ad hoc arbitration that does not have provision for interim preliminary or emergency relief, parties may also want to include clauses that enable the tribunal to provide such time-sensitive relief.
- Parties could also provide for expert opinion to be included while adjudicating the dispute. For this, something around something like the Prague Rules could be incorporated for establishing the manner in which expert opinion is taken and relied upon
- Multi-tier dispute resolution clauses could be incorporated to ensure that parties are able to effectively resolve disputes at the mediation or conciliation stage without having to go through full-fledged arbitration proceedings.
- Parties may also include dispositive motions, which are motions that will summarily dispose a claim without need for a hearing.
- The manner in which legal fees and costs are to be divided between the parties is also essential. Transferring the burden of the procedure on one party alone affects the efficacy of the arbitration clause.
- Confidentiality is the hallmark of arbitration. The manner in which witness statements, expert statements and other documents presented to the tribunal are to be used, and disposed, or remained confidential should be specified.
- In a dispute that may involve more than two parties, certain considerations need to be addressed in the arbitration clause. If there are related contracts and identical arbitration clause in all contracts could consolidate the dispute process. In a singular contract, there are more than two entities which are party to the contract. Normally, one clause could suffice. However, individual parties may engage subcontractors which need to be joined in the arbitration procedure. The subcontractor is not party to the main agreement, but the arbitration clause must require any party that enters into a contract with one of the parties to the contract to be bound by the dispute resolution provisions of that agreement.

Pathological Clauses

- Pathological clauses refers to defective or poorly drafted arbitration clauses. Some common defects found in pathological clauses are:
 - Reference to non-existent arbitral rules - **System for International Agencies v. Rahul Coach Builders Private Limited** - Supreme Court refused the appointment of arbitrator on the grounds that the arbitration clause was vague and the bylaws did not exist. The agreement stated that the disputes would be referred to arbitration under the *bylaws of the Indian Companies Act* and settled via arbitration as per international trade laws. Both aspects were vague and could not constitute a valid arbitration agreement.
 - Reference to non-existent arbitral institutions - **Pricol v. Johnson Controls** - Parties had made reference to Singapore Chamber of Commerce, which was a non-existent arbitration institution. However, when the dispute arose, the respondent approached Siac and interpreted Singapore Chamber of Commerce as a reference to SIAC. The proceedings before SIAC were challenged.

However, the Supreme Court refused to intervene in the arbitration process stating that the most reasonable construction of Singapore Chamber of Commerce would be SIAC. It was clear that no form of interpretation that would make the arbitration clause unworkable could have been accepted.

- Unworkable arbitration clauses: In **Insignia Technology v. Alstom Technology** parties had agreed to refer disputes to SIAC, but in accordance with the rules of ICC. Created an anomalous situation where SIAC was required to conduct arbitration as per ICC.

However, the court did not find the agreement to be pathological and directed the parties to continue with the hybrid mechanism where SIAC rules were to be applied in a manner consistent with ICC rules for conducting the arbitration

- Incomplete arbitration clauses - **Wellington Associates Ltd. v. Kirit Mehta** - Clause 5 of the agreement stated that the *parties may refer disputes to arbitration*. Clause 4 gave *exclusive jurisdiction of disputes* to the *civil courts* in Bombay.

Supreme Court held that the use of the word *may* indicated that the arbitration was an optional remedy. Therefore, a fresh consent of both parties is required to refer disputes to arbitration

- Reference to arbitrators who are no longer alive at the time of dispute
- In certain cases, the courts, when requested with the dismissal, have held the arbitration clause to be **invalid** or **severed** the pathological part or **rewrote** the pathological part to make the agreement workable

Formalism to Liberalism

In *K. Modi vs. K.N Modi* the court established that binding intention of the parties is essential for an arbitration agreement.

However, judicial inconsistency has prevailed on this question since in *Wellington Associates* phrases like *may be referred to arbitration* were invalidated while in others like **RMI v. Boeing** the proceedings were salvaged even though the clause never contained the word arbitration.

Jagdish Chandar vs. Ramesh Chandar is a watershed moment, the Court held as follows:

1. If the terms of the agreement indicate the party's intention to refer the issue to an arbitral tribunal, then it is an arbitration agreement. It should disclose an **obligation to refer to arbitration** not merely contemplate the possibility of such reference.
2. Even if the words arbitration and arbitral tribunal are used in the clause, it will not be an arbitration agreement if it is not mandatory to refer disputes between them to the decision of a private tribunal

3. The mere use of the word arbitration will not make it an arbitration agreement if it contemplates obtaining fresh consent of parties for reference to arbitration
4. Where the clause provides that the dispute shall be referred to arbitration it is an arbitration agreement. If there is a specific and direct expression of intent it is not necessary to set out the arbitration agreement attributes to make it valid. Therefore even if it does not have the word *arbitration* if the **words of the clause are able to indicate the intention to refer disputes to an impartial tribunal** it shall be upheld as an arbitration agreement.

The facts of the case indicate that the partnership deed stated that “*disputes shall be referred to the arbitration if the party so determines.*” On the basis of the aforesaid principles, the court found such an agreement to be invalid since the conditional phrasing made arbitration optional not mandatory.

Jagdish Chandar is the epitome of **formalist approach** since the court is required to focus on linguistic preciseness. This has often discouraged courts from salvaging defective clauses where the party intention was evident.

A corrective shift came with the **Enercon Case** where the Supreme Court rescued an otherwise unworkable clause that provided for three arbitrators but described the appointment process for only two.

The court invoked the **officious bystander test** where the court supplied the missing term to make the agreement workable.

Similarly in *Pricol* the court reaffirmed the **favor validitatis** principle promoting interpretation that sustains rather than destroys the agreement.

Unconscienability in Arbitration Agreements

In **Trout v. Organización Mundial de Boxeo Inc.** The U.S. Court of Appeals invalidated an arbitration agreement on the ground that it was unconscionable. It was held that the unilateral appointment of the arbitrator was unconscionable because it gave the World Boxing Organization an unfettered discretion to choose any arbitrator of its choice, including its own employees.

Having found such procedure unconscionable, the First Circuit did not invalidate the entire agreement. It rather demanded that Puerto Rico Court's determine whether the selection clause was severable from the rest of the agreement. On remand, the district court ultimately severed the invalidated selection provision and ordered the parties to meet and confer on selecting arbitrators.

1. Arbitration is a matter of contract therefore courts must recognize the party's right to appoint an arbitrator and to **choose an appointment mechanism of their choice**. However, party autonomy is not unbridled and therefore Section 2 of the Federal Arbitration Act allows the court to invalidate an arbitration clause if it violates grounds that exist in equity for the revocation of a contract since unconscionability is a ground for invocation of contract on equity. It is also a ground for invalidating an arbitration agreement.
2. There is no uniform definition of unconscionability However courts have followed a palpable pattern where it can be categorized into two subsets
 1. **Substantive Unconscionability** It refers to a condition where the terms of the contract are unreasonable and skewed in favour of one party such that it "*shocks the conscience*" of the Court. It focuses on the fairness of the terms themselves
 2. **Procedural Unconscionability** It refers to oppression of one party by the other *during the formation of contract*. It is concerned with the fairness of the process with which the terms of the agreement were created

International Scenario

Article 2(3) of the New York Convention requires that international arbitration agreements be enforced unless they are null, inoperative or incapable of being performed.

This also allows a court to invalidate an arbitration agreement on the basis of an internationally recognized contractual defense. Since unconscionability is recognized in most legal systems, it is logical to extend its ambit to international arbitration agreement.

Substantive unconscionability is more important in international as well as in domestic arbitration over procedural unconscionability.

Uber v. Heller

Heller was a driver for Uber and he brought a class action against Uber for violation of employment standards. However, as a condition to the employment, Heller had to agree to the services agreement by Uber. The dispute resolution clause under this agreement mandated that disputes be resolved through arbitration in the Netherlands. The class action was therefore sought to be stayed before the Canadian courts in favor of arbitration .

Supreme Court of Canada found the arbitration clause to be unconscionable since the claimant would never have a fair chance of resolving the dispute given the cost of initiating arbitration in the Netherlands. Thus, on the grounds of accessibility, it was held that a court **should not refer a challenge to an arbitrator's jurisdiction** if there is a real prospect that doing so would result in the (challenge never being resolved)

Unilateral Appointment

In *Trout*, it was found that the unilateral appointment by the WBO was unconscionable. It allowed WBO to act as both party and judge.

The Supreme Court's decision in *CORE II v. ECI* has finally settled the law on whether unilateral appointments are unconscionable.

CORE II v. ECI

Facts

The issue concerned the validity of arbitration clauses in government sector contracts, which allowed one party to unilaterally appoint arbitrators to control the composition of the arbitration tribunal.

The arbitration agreement in question involved a **three-member arbitration tribunal** and was structured in the following manner:

1. From a nominated list of four retired railway employees, the contractor could **select two as his choice of arbitrators**
2. From those selected by the contractor, GM was required to **select at least one** to constitute the final arbitration tribunal
3. The remaining members were to be appointed by the GM.

A previous decision of the Supreme Court in *CORE v. ECI* had found this mechanism to be valid since the right of the GM to form the tribunal was counterbalanced by the contractor's power to choose two out of the four names. The GM was responsible also to appoint at least one of them as the nominee of the contractor.

In this decision, the court relied on a catena of previous decisions where it was said that the seventh schedule read with section 12 did not put an embargo on retired government employees from serving as arbitrators and preemptively no bias or likelihood of bias could be attributed to such qualified persons.

However in **Tatia Constructions Limited** a three judge bench disagreed with the decision in *CORE* and referred it to a larger bench for reconsideration.

Decision

- Party autonomy is the brooding and guiding spirit of arbitration. However, it is not absolute. It is limited by the mandatory provisions of the Act such as Section 18 which require equal treatment and Section 12(5) which require independence and impartiality of the tribunal.
- It cannot be said that by participating in the arbitration process, the parties have waived their right to challenge the unconscionability of the appointment. Section 4 does not operate in these cases since only derogable provisions can be waived, mandatory provisions cannot. Section 18 and Section 12 are non-derogable.
- Arbitration is a quasi judicial function and tribunals have the trappings of a court, therefore they must act objectively and judicially
- Section 18 applies to all stages of the arbitration proceeding including aspects such as composition of tribunal
- The impartiality of tribunal and the equality of parties are concomitant principles. One cannot be guaranteed without the other.
- In the case of a sole arbitrator, if the person having a financial interest in the outcome of the proceeding nominates the sole arbitrator, it gives justifiable doubts to the independence of the tribunal and is therefore violatable of section 18

- The previous decisions in CORE mandate that the contractor select the arbitrator from the curated panel which is restrictive and the curation of the panel is exclusively undertaken by the GM. This is against the principle of equal treatment
- An amendment under section 12 was introduced in 2015. Clause 5 of Section 12 now contains a non-obstantee clause whereby notwithstanding prior agreement to the contrary, a person whose relationship falls within the Seventh Schedule shall be ineligible to be appointed as arbitrator.

Perkins v. HSCC

The arbitration agreement stipulated that HSCC's chairman would appoint a sole arbitrator. When disputes arose, the chairman was unable to appoint an arbitrator within the 30-day period, and the chief general manager attempted to appoint an arbitrator prompting Perkins to approach the Supreme Court under Section 11.

The code placed its analysis on the precedent established in **TRF Limited vs. Energo**. This was also relied upon by the court in CORE II.

In *TRF* the arbitration agreement stated that the managing director could either act as arbitrator or nominate one. The Court invalidated the clause on the grounds that where the MD was himself barred to act as an arbitrator, he could also not nominate an arbitrator.

Perkins extended this logic to a different scenario. In this case, even though the chairman was not authorized to act as an arbitrator himself, the court found that the fundamental reason for ineligibility is the interest of the appointing authority in the outcome of the proceedings. The court laid down that a person with an interest in the dispute will not have the power to appoint the arbitrator.

However a carve-out was made for situations where both parties are empowered to appoint an arbitrator.

International Position

The US position was also discussed extensively by the Supreme Court. Court relied on the principle of unconscionability and equity originally developed in the US to support their observation.

In **Hooters of America vs. Phillips**, the agreement allowed Hooters to create an exclusive list of arbitrators from which the employees arbitrator and the neutral arbitrator had to be selected. This gave Hooters control over the entire panel and created a system that was completely one-sided. On the basis of Section 2 of the Federal Arbitration Act the Court refused to enforce the agreement.

Halliburton v. Chubb The UK Supreme Court held that there was a duty of disclosure for arbitrators in English law however parties by agreement could waive this duty.

The facts of the case involved an ad hoc arbitration that was seated in London, and governed by the laws of New York. Halliburton sought removal of the presiding arbitrator on the ground that he had failed to disclose certain appointments which had given doubt to his impartiality.

The Act places no obligation on potential arbitrators to make disclosure to parties. However, the Supreme Court in Halliburton found that the duty of disclosure was implicitly based in section 33. The legal obligation to disclose matters is encompassed within the obligation of fairness. Similarly, as the Indian Supreme Court held in *CORE II* disclosure and equality are coextensive.

Here is where the problem begins. Section 33 falls within a subset of sections that can not be waived. The parties cannot by agreement waive the arbitration Tribunal's responsibility to act fairly. The Court in *Halliburton* found that it could be waived by agreement. A possible justification is that the Court found this responsibility to have been impliedly incorporated in a "contract" between the parties. Such a contractual duty, based on statutory mandate, could in theory be waived by agreement.

However it is not clear how the Court jumped from “statute” to “contract” in this case.

England and Wales - English courts have upheld asymmetric jurisdiction and arbitration clauses since they believe in a strong principle of party autonomy. There is a deference to the freedom of contract.

Singapore - Singapore law recognises the validity of unilateral appointment clauses. In **Wilson Taylor Asia vs. Dinah Jet**, Court of Appeal confirmed that lack of mutuality does not render the clause invalid.

Hong Kong - Hong Kong follows the common law approach and upholds the validity of isometric clauses.

EU - Historically, the French courts have viewed asymmetric clauses as creating imbalance. However, in the *Lastre Decision*, the Court of Justice ruled that asymmetric jurisdiction clauses are valid under EU law **if they are based on party autonomy**.

Germany - German courts have held that unilateral appointment clauses are valid unless they violate *boni mores* or good morals and represent an unreasonable disadvantage to the other party.

China - PRC courts have had an inconsistent approach. However, in 2023, the Beijing Financial Court upheld the validity of an asymmetric arbitration clause. However, the court was persuaded by the fact that both commercial entities had equal bargaining power, and the clause was a result of negotiations.

United States - As discussed earlier, unilateral appointment clauses are hit by unconscionability through the provisions of the Federal Arbitration Act. However, some other state jurisdictions have upheld such clauses and favored a case-by-case flexible approach.

UAE and Russia - They have indicated that asymmetric jurisdiction clauses are unenforceable since they violate equality and fairness.

Team C - Tribunal

Issue 1

Yes, Clause 21.4 was an effective choice. Article 28 of the UNCITRAL Model Law enumerates rules applicable to the substance of the dispute. It is clear that the present issue concerning the grant of damages is an issue concerning the substantive interpretation of the contract and its application to the present circumstance. It is therefore a dispute concerning the provisions of the matrix contract and not the arbitration agreement. Therefore, since the issue concerns the interpretation of the matrix contract, Article 28 must be invoked.

The UNCITRAL Model Law took a conscious policy decision to include the words “such rules of law as are chosen by the parties.” The Geneva Convention previously used the term “laws applicable to the substance of the dispute” rather than “rules of law.”

This deliberate change was made since the intention was not only to incorporate substantive law, but also to allow the incorporation of non-national or non-municipal norms like the UNIDROIT Principles, trade usages, or *lex mercatoria*, even to the exclusion of a national legal system.

In the same way, the law of Singapore, being the law that determines the conduct of the tribunal, also enables parties to decide the dispute in accordance with the “rules of law” as may be chosen to govern the substance of the dispute. Therefore, even if the tribunal is seated in Singapore, the framing of the Model Law—and Singapore’s national law having been framed in tandem with the Model Law—indicates that a broader conception involving legal as well as non-legal customs, usages, international principles, etc., can also be incorporated and considered by the tribunal while making its decision.

It is also clear that the framing of Clauses 21.1 and 21.4 indicates that the intention of the parties is to enable and empower the tribunal to apply both the laws of the Emirate of Dubai and the UNIDROIT Principles of International Commercial Contracts. Clause 21.4 specifically states that the tribunal shall apply these principles, establishing that it is not merely directory but also mandatory to do so. Clause 21.4 also indicates that this choice of international principles does not erode its previous choice of the national laws of Dubai, since Clause 21.4 begins with the words “in addition to clause 21.1.” It also realizes presciently that there may be a situation where the laws of Dubai may come into conflict with the UNIDROIT Principles, at which point the conflict shall be resolved in favor of the UNIDROIT Principles.

This leads to two outcomes: first, that the drafting of paragraph 1 of Article 28 indicates that the broader framing of “rules of law” allows for importing such international principles in determining the substance of the dispute. Having been enabled to do so, the

parties have also specifically established the importance of considering the UNIDROIT Principles specifically among other international principles, and have established that the conflict between the national and the international shall be resolved in favor of the international principle.

It is therefore held that Clause 21.4 was an effective choice, and by virtue of Article 28, paragraph 1 and the corollary provision of Singaporean national law, it is possible for a tribunal seated in Singapore to apply the UNIDROIT Principles in the determination of the substance of this present dispute.

Issue 2

Indian law in this case cannot be said to be applied as the governing law and is merely relevant as a factual or legal predicate. It is merely used to identify the trigger for the claim of damages made by Meridian.

Undoubtedly, the law of the state in which the performance of the contract is to be undertaken cannot be completely ignored while undertaking an analysis of the substance of the dispute. Therefore, even if in *arguendo* the tribunal had applied the substantive provisions of Indian law, it would not have vitiated the award *prima facie*. Yet, what is observed is that the Indian provisions only indicate the factum of non-performance and provide for its proximate cause. Had the parties agreed to the absolute application of Dubai law, the non-performance and its justification as provided through Indian law would not have been sustained before the tribunal, since Dubai law does not allow for such an exception; at the same time, this justification was permitted before the present tribunal since the UNIDROIT provisions allowed for hardship to be an exception.

The provisions of the contract indicate that the laws of Dubai shall be applied only to the extent that they are amenable to the UNIDROIT Principles. The application of the substantive law is to determine whether the factum of breach and damages has taken place or not. The reason and cause of non-performance is established through the Indian provisions. Therefore, in effect, the tribunal has not applied the Indian export rule as governing law; it has merely identified the export rule as a reason for non-performance and used that as a foundation to build upon the merits of whether a claim for damages is available or not. That fundamental issue—concerning the claim of damages—is still governed by the applicable law as decided by the parties in Clauses 21.1 and 21.4. It is not as if Indian contract law or export provisions were used to justify the exception granted to Saurashtra; the exception was still granted under the hardship provisions of the UNIDROIT Principles. This is ultimately evidenced in the *Ralli Bros* principle concerning impossible or infructuous contracts.

Issue 3

Finally, the award of interest was not open to be granted to Meridian in the presence of Clause 14.3 of the contract. It is clear that Article 28, paragraph 4 establishes the outer

limits of the tribunal's jurisdiction by mandating that the tribunal comply with the express provisions of the contract in determining the substance of the dispute. Since the tribunal is a creature formed out of the contract itself, it does not have the capacity to go beyond the express terms of the contract. Therefore, since Clause 14.3 indicates that no interest shall be payable on any sum under the agreement, the term "any sum" encompasses even interest that may have been imposed on the costs of arbitration. The provision does not state that no interest shall be payable on any award found due under this agreement. In fact, the word "award" is used at the end of the clause to indicate that neither prior to the award nor after the award shall any such interest be granted on any amounts contemplated under the agreement. It is therefore a clear violation of Article 28 and the corresponding Singaporean law, which is not only concerned with the substance of the dispute, but also with the powers of the arbitral tribunal. The competence of the arbitral tribunal cannot be exercised manifestly against the terms of the contract or the *lex fori*. Since the competence of the tribunal here has been seriously exceeded, Article 28, paragraph 4 must be used as a means to strike down the tribunal's grant of interest.

A result of this is that since the arbitrator's competence is in question, Meridian who loses this point on substance will have to take this dispute before the Singaporean High Court since Singapore is determined as the seat